



(lower than Tier I cities) and supportive state government incentives.



How has demand for commercial real estate changed with the rise of Tier II GCC locations like Coimbatore, Jaipur and Vizag?

Businesses are increasingly turning to these locations as cost-effective alternatives to Tier I metros. This shift is prompting developers to respond with high-quality commercial assets, including a rising share of green-certified buildings. Notably, the majority of new office stock delivered during Jan-Mar

2025 is green-certified, reflecting both occupier demand for sustainable infrastructure and developers' alignment with ESG goals. While cities like Bengaluru, Mumbai, and Delhi-NCR continue to lead in overall office space consumption, Tier II markets are gaining strategic relevance within the hub-and-spoke models increasingly adopted by multinational firms. These locations offer cost advantages, flexibility for future expansion, operational resilience and workforce diversification.



What key infrastructure factors do clients priori-

tise while finalising GCC locations in India?

Clients are increasingly prioritising future-ready, sustainable office spaces, which aligns with their growing commitment to ESG. The availability of a skilled talent pool is another key consideration, facilitating efficient hiring and long-term workforce development. Additionally, physical connectivity—especially easy access to airports and well-developed transportation networks—along with robust digital infrastructure, such as high-speed internet and a reliable power supply, is seen as an essential prerequisite. Beyond physical assets, the maturity of the local business ecosystem plays a significant role. Government incentives and favourable regulatory frameworks further influence site selection decisions.



How do real estate costs for GCCs in Tier 2 cities compare with Tier 1 hubs today?

Cost advantage is a key factor driving the growing popularity of GCCs in emerging locations such as Coimbatore, Jaipur, Vizag, Kochi, and Indore. These destinations offer not only more affordable leasing rates but also access to skilled and cost-

efficient talent pools, contributing to reduced operating expenses and improved talent retention. The rising availability of Grade A and ESG-certified office spaces in these smaller markets further enhances their appeal for sustainable GCC operations.



How are ESG and green building mandates shaping GCC real estate preferences?

The environmental, social, and governance (ESG) principle is foundational to real estate decision-making among GCCs in India. Data indicated that the majority of new office completions and leasing activity occurred in green-certified buildings, reflecting a strong and growing preference for sustainable infrastructure. GCCs—particularly in sectors such as technology and BFSI—are at the forefront of this transition, actively seeking properties that comply with internationally recognised standards like LEED (Leadership in Energy and Environmental Design-India), IGBC (Indian Green Building Council), and GRIHA (Green Rating for Integrated Habitat Assessment). **BT**

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